Acme Corporation — Q2 2024 Quarterly Report

Executive Summary Acme Corporation delivered strong financial results in Q2 2024, with total consolidated revenue reaching $47.3 million, representing a 12.4% increase year-over-year from $42.1 million in Q2 2023. Gross profit margin improved by 2.1 percentage points to 58.7%, driven by operational efficiencies and favorable product mix shifts toward higher-margin software services.

Revenue Breakdown by Segment

The North America segment contributed $28.6 million (60.5% of total), up 9.8% from the prior year. The EMEA segment generated $11.2 million (23.7%), showing robust growth of 18.3% year-over-year. Asia-Pacific revenues reached $7.5 million (15.8%), a 10.2% increase driven by expansion in Southeast Asian markets. Total recurring subscription revenue was $31.4 million, representing 66.4% of total revenue, compared to 61.2% in the same period last year.

Cost Structure and Profitability

Cost of goods sold decreased as a percentage of revenue to 41.3% from 43.4% a year ago. Research and development expenses were $6.8 million (14.4% of revenue), up 22.1% as the company accelerates investment in artificial intelligence product features. Sales and marketing expense was $9.2 million (19.5% of revenue). General and administrative costs were $4.1 million. EBITDA for the quarter was $9.6 million, yielding an EBITDA margin of 20.3%.

Customer Metrics

Total active customers at quarter-end reached 8,740, an increase of 1,230 net new customers compared to Q1 2024. Annual Recurring Revenue (ARR) expanded to $127.4 million from $112.8 million at the end of Q1 2024, representing 13.0% sequential growth. Net Revenue Retention Rate (NRR) was 118%, indicating strong expansion revenue from the existing customer base. Customer Acquisition Cost (CAC) improved to $1,840 from $2,110 in Q1 2024.

Balance Sheet and Cash Flow

Cash and cash equivalents at quarter-end were $38.2 million. Operating cash flow was $11.4 million, with free cash flow of $9.1 million after $2.3 million in capital expenditures. Total debt outstanding is $15.0 million under the revolving credit facility at an interest rate of SOFR plus 1.75%, currently approximately 7.1% per annum. Accounts receivable days outstanding (DSO) improved to 38 days from 44 days in the prior quarter.

Guidance and Outlook

For Q3 2024, management expects revenue in the range of $49.0 million to $50.5 million, representing growth of 11% to 14% year-over-year. Full-year 2024 revenue guidance is raised to $193 million to $197 million, from the prior range of $188 million to $193 million. Full-year EBITDA margin is expected to be in the range of 19% to 21%.

Risk Factors

The company faces macroeconomic headwinds including potential enterprise budget contractions. Foreign exchange fluctuations could impact EMEA and APAC revenues, with every 1% change in the EUR/USD rate affecting annual revenue by approximately $0.8 million. Competition from larger technology vendors continues to intensify in core product categories.